

Full Doc, Express Doc, 1099, Bank Statement,
WVOE, P&L, Asset Utilization, FLEX (DU®/DO®/LPA®)

PRIME CONNECT			
FULL DOC, EXPRESS DOC, ASSET UTILIZATION, 1099, BANK STATEMENT, 12/24 MONTH P&L, AND WVOE			
PRIMARY RESIDENCE (1-3 Units)			
TRANSACTION TYPE	MAX LTV/CLTV	MAX LOAN AMOUNT	MIN FICO
PURCHASE RATE AND TERM	90% ^{1,2,5,6,7} (Purchase Only)	\$1,000,000	720
	85% ^{3,5,6,7} (Purchase Only)	\$2,000,000	680
	80% ^{5,7}	\$2,000,000	660
		\$2,500,000	680
		\$3,000,000	700
	70%	\$3,500,000	720
CASH OUT	80% ^{5,7}	\$1,500,000	700
		\$2,000,000	720
	75% ^{5,7}	\$1,500,000	660
		\$2,000,000	700
		\$2,500,000	720
	70%	\$2,000,000	660
		\$2,500,000	700
		\$3,000,000	720
SECOND HOME (1 Unit)			
TRANSACTION TYPE	MAX LTV/CLTV	MAX LOAN AMOUNT	MIN FICO
PURCHASE RATE AND TERM	85% ^{3,6} (Purchase Only)	\$1,000,000	680
		\$1,500,000	720
	80%	\$1,000,000	660
		\$2,000,000	680
		\$2,500,000	700
	75%	\$1,500,000	660
		\$2,500,000	680
CASH OUT	75%	\$1,500,000	680
		\$2,000,000	720
	70%	\$1,500,000	660
		\$2,000,000	680
		\$2,500,000	720
	65%	\$2,000,000	660
INVESTMENT (1-4 Units)			
TRANSACTION TYPE	MAX LTV/CLTV	MAX LOAN AMOUNT	MIN FICO
PURCHASE RATE AND TERM	80% (Purchase Only)	\$1,500,000	660
		\$2,000,000 ⁴	680
		\$2,500,000 ⁴	700
	75%	\$2,000,000 ⁴	660
CASH OUT	75%	\$1,500,000	680
	70%	\$2,000,000 ⁴	660
		\$2,500,000 ⁴	720
¹Condos – Max 85% LTV/CLTV ²Min loan amount \$200k. Interest Only not permitted - No FTHB ³Interest Only 40 Yr IO not permitted. ⁴Loans \$2MM+ are allowed for 2–4-unit properties only Exception: SFR and 2–4-unit properties allowed in California only ⁵12/24 Month P&L – Max 80% LTV/CLTV Purchase; 75% LTV/CLTV Rate and Term; 70% LTV/CLTV Cash Out ⁶Non-Warrantable – Max 80% LTV/CLTV ⁷WVOE – Max 80% LTV/CLTV Purchase; 70% LTV/CLTV Rate and Term / Cash Out		Asset Utilization - Primary and 2nd home – Max 80% LTV/CLTV - Investment Property – Max 65% LTV/CLTV - Cash out – Max 60% LTV/CLTV	



PLUS CONNECT			
FULL DOC, EXPRESS DOC, ASSET UTILIZATION, 1099, BANK STATEMENT, 12/24 MONTH P&L			
PRIMARY RESIDENCE (1-3 Units)			
TRANSACTION TYPE	MAX LTV/CLTV	MAX LOAN AMOUNT	MIN FICO
PURCHASE RATE AND TERM	80% ⁵	\$1,500,000	640
		\$2,000,000	680
		\$2,500,000	720
	75%	\$2,000,000	620
		\$2,500,000	680
		\$3,000,000	700
CASH OUT	80% ⁵	\$1,000,000	680
	75% ⁵	\$1,500,000	660
		\$2,000,000	680
	70%	\$1,500,000	640
		\$2,000,000	660
		\$2,500,000	700
	65%	\$1,500,000	620
		\$2,500,000	680
SECOND HOME (1 Unit)			
TRANSACTION TYPE	MAX LTV/CLTV	MAX LOAN AMOUNT	MIN FICO
PURCHASE RATE AND TERM	80%	\$1,000,000	640
		\$1,500,000	660
		\$2,000,000	680
	75%	\$1,500,000	640
		\$2,000,000	660
		\$2,500,000	700
	70%	\$2,000,000	640
		\$2,500,000	680
CASH OUT	75%	\$1,500,000	660
		\$2,000,000	700
	70%	\$1,000,000	640
		\$2,000,000	680
	65%	\$2,000,000	660
INVESTMENT (1-4 Units)			
TRANSACTION TYPE	MAX LTV/CLTV	MAX LOAN AMOUNT	MIN FICO
PURCHASE RATE AND TERM	80% (Purchase Only)	\$1,000,000	640
		\$1,500,000	660
		\$2,000,000 ⁴	680
	75%	\$1,500,000	640
		\$2,000,000 ⁴	660
	70%	\$2,500,000 ⁴	680
CASH OUT	75%	\$1,500,000	660
		\$2,000,000 ⁴	700
	70%	\$1,000,000	640
		\$2,000,000 ⁴	660
	65%	\$1,500,000	640
		\$2,500,000 ⁴	680
⁴ Loans \$2MM+ are allowed for 2–4-unit properties only Exception: SFR and 2–4-unit properties allowed in California only ⁵ 12/24 Month P&L – Max 80% LTV/CLTV Purchase; 75% LTV/CLTV Rate and Term; 70% LTV/CLTV Cash Out		Asset Utilization - Primary and 2nd home – Max LTV/CLTV 80% - Investment Property – Max LTV/CLTV 65% - Cash out – Max LTV/CLTV 60%	



FLEX CONNECT					
FNMA DU®/DO® or FHLMC LPA® ("AUS") DOCUMENTATION					
OCCUPANCY	TRANSACTION TYPE	CREDIT GRADE	MAX LTV/CLTV	MAX LOAN AMOUNT	MIN FICO
PRIMARY 1-3 Units	PURCHASE RATE AND TERM	PRIME Connect	80%	\$2,500,000 ⁵	660
		PLUS Connect			640
	CASH OUT	PRIME Connect	75%	\$2,500,000 ⁵	660
		PLUS Connect			640
SECOND HOME 1 Unit	PURCHASE RATE AND TERM	PRIME Connect	75%	\$2,500,000	680
		PLUS Connect			640
INVESTMENT 1-4 Units	PURCHASE RATE AND TERM	PRIME Connect	70%	\$2,500,000 ⁴	660
		PLUS Connect			640

⁴Loans \$2MM+ are allowed for 2–4-unit properties only

- Exception: SFR and 2–4-unit properties allowed in California only

⁵12/24 Month P&L – Max 80% LTV/CLTV Purchase; 75% LTV/CLTV Rate and Term; 70% LTV/CLTV Cash Out

PRODUCTS	All Products	Product	Term	IO Term	Initial Cap	Periodic Cap	Life Cap
		5/6 ARM	360 mo	NA	2	1	5
		5/6 ARM	480 mo	NA	2	1	5
		5/6 ARM IO	360 mo	120 mo	2	1	5
		5/6 ARM IO	480 mo	120 mo	2	1	5
		7/6 ARM	360 mo	NA	5	1	5
		7/6 ARM	480 mo	NA	5	1	5
		7/6 ARM IO	360 mo	120 mo	5	1	5
		7/6 ARM IO	480 mo	120 mo	5	1	5
		30 Yr Fixed	360 mo	NA	NA	NA	NA
		30 Yr Fixed IO	360 mo	120 mo	NA	NA	NA
		40 Yr Fixed	480 mo	NA	NA	NA	NA
		40 Yr Fixed IO	480 mo	120 mo	NA	NA	NA
MIN LOAN AMOUNT	All Programs	\$125,000					
INTEREST ONLY	PRIME Connect	Purchase: Max 85% LTV/CLTV Rate & Term and Cash-Out: Max 80% LTV/CLTV Min 700 FICO					
	PLUS Connect	Purchase/Rate & Term/Cash-Out: Max 80% LTV /CLTV Min 680 FICO					
	FLEX Connect	Purchase/Rate &Term: Max 80% LTV/CLTV, Cash-Out 75% LTV/CLTV					
INTEREST ONLY PERIOD	40 Year Interest Only = 10 year I/O then 30-year amortization; Max 80% LTV/CLTV 30 Year Interest Only = 10 year I/O then 20-year amortization; Max 85% LTV/CLTV						
QUALIFICATION	PRIME Connect, Plus Connect	5/6s and 7/6s – greater of Note Rate or the Fully Indexed Rate (rounded to the nearest .125)					
	FLEX Connect	5/6s – greater of the Note Rate + 2% or Fully Indexed rate 7/6s – greater of Note Rate or the Fully Indexed rate					
	For I/O’s calculate payment based on (1) the Qualifying Rate described above, (2) the original balance, and (3) a term that equals the amortization term (i.e., 360 months for 40 year I/O). Qualifying payment for I/O must include principal component.						
DTI	PRIME Connect and PLUS Connect	> 85% LTV/CLTV		45% DTI			
		≤ 85% LTV/CLTV		50% DTI			
	FLEX Connect	Per FNMA DU®/DO® or FHLMC LPA® (“AUS”) Findings (max of 50% DTI)					



BORROWER	Non-Occupant Co-Borrower		PRIME Connect / PRIME Flex	Primary Purchase & R&T, 1 Unit Only Eligible with blended ratios	
			PLUS Connect / PLUS Flex	Per FNMA/FHLMC/AUS	
	Non-Permanent Resident Aliens		PRIME Connect / PLUS Connect	Max 80% LTV, Primary Purchase & R&T, 1-2 Units Only	
			FLEX Connect	Per FNMA/FHLMC/AUS Refer to Non-Permanent section of manual	
	Limited Partnerships, General Partnerships, Corporations, Limited Liability Company – Eligible (Layered entities not permitted) First Time Homebuyers – Eligible (See guidelines for details) Foreign Nationals – Ineligible All borrowers must have a valid SSN				
CREDIT EVENTS		Short Sale, Foreclosure, Single Bankruptcy, 120+		12 Month Housing History	
	PRIME CONNECT	4 Years BK – Ch 7, 11, 13 – based on discharge or dismissal date Note: Cash out cannot be used to settle, BK must have been settled prior to application		0 x 30 x 12	
	PLUS CONNECT	2 Years		0 x 60 x 12	
		1 Year (additional LLPA applies)			
	FLEX CONNECT	Follow applicable PRIME Connect or PLUS Connect credit grades		PRIME: 1 x 30 x 12 (per AUS, no rolling)	
		For loan casefiles with credit events outside of FNMA or FHLMC allowances, “Extenuating Circumstance (EC)” override in AUS may be used. The loan must still fall within PRIME Connect or PLUS Connect requirements for seasoning. See Underwriting Guidelines for details.		PLUS: 0 x 60 x 12	
QUALIFYING FICO	Full Doc, Express Doc, Asset Utilization and FLEX		Primary wage earner		
	Bank Statement		Primary wage earner Borrowers with 50/50 split ownership need to use the higher of the two mid FICO scores		
	No borrower can have a middle FICO score less than 660 (PRIME Connect; PRIME FLEX), 640 (PLUS FLEX), 620 (PLUS Connect) For refinances, the use of highest score is only eligible if that borrower meets continuity First Time Investors – Min 700 FICO				
RESERVES	PRIME CONNECT	≤\$2,000,000		6 months	
		>\$2,000,000		9 months	
	PLUS CONNECT	≤ \$1,000,000		3 months	
		≤\$2,000,000		6 months	
		>\$2,000,000		9 months	
		R/T Refi, Max 60% LTV/CLTV, Min 0x30x12		No reserves needed	
	FLEX CONNECT	Per AUS			
	Departing Residence Pending Sale	An additional 6 months PITIA reserves for the departure residence is required if payment is being excluded and property is under contract. For FLEX Connect, follow AUS requirements.			
ASSETS	- Asset Statements - Asset Utilization: 4 months statements - All other programs: 1 month statement - Statements not required for Cash-Out transactions which satisfy reserves - Most recent required months asset statements, quarterly statement or FNMA approved third party direct pull services 100% value of Bank Accounts, Stocks, Bonds, Mutual Funds, Retirement Accounts at vesting percentage				



GIFT FUNDS	Primary Purchase Only Borrower must have 5% of their own funds documented but not required to use; Borrowers with no housing history must have 10% of their own funds documented but not required to use Gift of equity eligible to a max 75% LTV (Primary Only) FLEX Connect – Follow FNMA/FHLMC Selling Guide for all gift, gift of equity and minimum borrower contribution requirements		
	If min borrower contribution % is not used towards the down payment, those funds can be used towards reserves.		
CASH OUT TRANSACTION	Cash-Out permitted to meet reserves for all programs Borrower must have owned the property for a minimum of 6 months prior to the application date		
MAX CASH OUT	Max Cash Out	>70 LTV/CLTV	≤70 LTV/CLTV
	All Programs	\$1MM	Unlimited
INCOME DOC TYPES (See guidelines for more details)	Full Doc Connect		Express Connect
	- Eligible with PRIME Connect and PLUS Connect - Wage Earner - most recent YTD paystub with at least 30 days earnings or Electronic VOE (i.e. The Work Number) and 2 years W2 (or tax transcripts) - Self-Employed = 2 years personal & business tax returns w/ YTD P&L		- Wage Earner - most recent YTD paystub with at least 30 days earnings or Electronic VOE (i.e. The Work Number) and 1-year W2 (or tax transcripts) - Self-Employed = 1 year personal and business tax returns with YTD P&L if application is dated more than 120 days after the end of the business tax year
	Bank Statement Connect		Asset Utilization
	Eligible with PRIME Connect, PLUS Connect and FLEX Connect		- Qualified assets with draw schedule of 5 years - FLEX Connect – Follow AUS guides w/ a 5-year draw
	12/24 Month CPA Prepared P&L		FLEX Connect
	Eligible with PRIME Connect, PLUS Connect and FLEX Connect See UW Manual for documentation requirements		- Follow AUS findings with min 1-year verification of income - If the tax return year is dated > 90 days prior to the Note date, a YTD (P&L) dated within 90 days of note date, along with the two most recent months of bank statements. - Electronic VOE (i.e., The Work Number) is acceptable - Bank Statement product is eligible with FLEX features
	1099 Borrowers		Written Verification of Employment
	- Eligible with PRIME Connect and PLUS Connect 1 or 2 years of 1099s See UW Manual for documentation requirements		- FNMA Form 1005 - VVOE within ten calendar days prior to the funding date See UW Manual for documentation requirements
BANK STATEMENT INCOME (12 OR 24 MONTHS)	2-year history of business ownership – greater than 1-year but less than 2 can be considered as per FNMA. - Business ownership – Minimum of 25% ownership		
	BUSINESS BANK STATEMENTS		
	Borrowers who are using more than 3 separate bank accounts must qualify using personal bank statements		
	OPTION 1 – FIXED EXPENSE RATIO		OPTION 2 - THIRD PARTY EXPENSE RATIO
	<u>Option A: 50% Expense Factor</u> Loans with LTV>85% will be required to use 50% expense factor		(CPA/Tax Attorney/Enrolled Agent/CTEC) - Purchase/Rate & Term - Max 80% LTV - Cash-out refinance – Max 75% LTV 15% Floor 3rd party must have filed most recent business tax returns - Tax Professional must verify the borrower’s ownership percentage - To determine net income, multiply eligible business deposits by the following: 100% minus the Expense Ratio as described above
	<u>Option B: 20% Expense Ratio (Max LTV 85%)</u> Eligible only if all of the following applies to the business		
- Borrower is sole owner and operator of the business (no partners, employees, etc.) - Service business (no cost of goods, no heavy equipment, machinery, etc.) - Does not require office space that would incur rent			



	PERSONAL BANK STATEMENTS	
	OPTION 1	OPTION 2
	PERSONAL BANK STATEMENTS WITH EVIDENCE OF BUSINESS BANK ACCOUNT	PERSONAL BANK STATEMENTS WITH NO BUSINESS BANK ACCOUNT
	100% of business deposits in a personal bank account can be used. - Provide most recent 2 months business statements to validate deposits are from the borrower owned business bank account (Only giving credit for transfers from the business; or receipt of payroll from business and distributions only)	- Comingled business and personal with no business account for non-service businesses are considered as business bank statements with the appropriate expense factor (20% Service Business, 50% non-service business) applied. See section 10.4.2 - Deposits from self-employment business only, will be included into bank statement calculation - A trend of repeated expense not reported on the credit report may need additional explanation and may be considered a liability
12/24 MONTH CPA/ENROLLED AGENT (EA) PREPARED PROFIT & LOSS	- Max LTV 80% Purchase; 75% R&T; 70% Cash Out Refinance; Min 680 FICO \$2.0MM Max Loan Amount - Self-Employed borrowers only - Most recent 12 or 24 -month Profit & Loss statement (P&L). P&L end date must be less than 90 days old at closing - All Profit & Loss statements must be completed by an independent CPA/EA - CPA/EA license must be verified - Self-employed borrowers who file their own tax returns are not eligible - Minimum of 2 years self-employment in the current profession - Borrower narrative on nature of business required - See Underwriting Manual for additional requirements	
WRITTEN VERIFICATION OF EMPLOYMENT	- Max LTV 80% Purchase; 70% R/T / Cash Out; Min 680 FICO \$1.5MM Max Loan Amount - Prime Connect Only - Primary Residence Only - FTHB – Max 70% LTV - Wage Earners Only - Two years history of employment in the same industry and 1-year continuous employment at current job	
FLEX CONNECT (AUS Documentation and Bank Statement Income)	FLEX program will utilize Fannie Mae Desktop Underwriter (DU®/DO®) or Freddie Mac Loan Product Advisor (LPA®) findings, referred to throughout this document as “AUS,” with the added guideline allowance of Connect PRIME and Connect PLUS benefits for ease of process. The loan will be underwritten to the FLEX program matrix, the AUS Findings and the overlays noted below. Any items not addressed in this section will default to FNMA/FHMLC Selling Guides. This is a Non-QM program. Please refer to full matrix and guidelines for additional process details.	
	Underwriting Process	- FNMA DU®/DO® or FHLMC LPA® is required - References to “AUS” throughout this document collectively refer to FNMA DU®/DO® or FHLMC LPA® Findings - For underwriting guidelines not addressed in this document or UW Guidelines, please reference the Fannie Mae or Freddie Mac Seller Guide for details.
	AUS Requirements	- Approve/Eligible - Approve/Ineligible (due to loan amount, loan structure, Interest Only, property (non-warrantable condo) and credit event - Refer to Credit Event section for details - Note: Refer or Caution findings will not be eligible for delivery, however, may be eligible under PRIME Connect or PLUS Connect Program and considered a manual underwrite



TRADELINES	PRIME Connect PLUS Connect	- Each borrower must have 2 tradelines or joint borrowers must have a total of 3 tradelines combined, rated at least 12 months, with activity in the last 24 months. - Tradeline may be opened or closed - Eligible tradelines cannot have any derogatory history in previous 24 months - Current housing not reporting on credit can be considered an open tradeline if supported by bank records (cancelled checks/debits) - No authorized user accounts will be used to satisfy minimum tradelines - Non-traditional credit is not allowed as an eligible tradeline.
	FLEX Connect	Follow AUS Findings
SUBORDINATE FINANCING	Allowed behind Fixed and Institutional Financing Only, Primary Residence Only FLEX Connect – Follow FNMA/FHLMC/AUS	
ESCROWS	Required for HPML loans per CFPB and LTVs > 85%	
PROPERTY	Primary 1-3 Units Second Home 1-Unit Non-Owner 1-4 Units Max Financed Properties – Prime/Plus- no limit; FLEX- as per FNMA DO®, DU®, FHLMC LPA® SGCP exposure to a single borrower/guarantor is limited to \$5M UPB or 10 loans. Subject Property Short Term Rentals not permitted	Live/Work Condos – Follow FNMA Co-Ops Permitted Max Acreage – Max 10 acres Minimum Square Footage – 500 sq ft per unit-No kitchenettes Declining Markets requires 5% LTV reduction from max borrower qualifies for - Floor: 75% Purchase; 70% Refinance
	Rural Properties – eligible for PRIME, PLUS and FLEX Primary Residence – Max 75% LTV/CLTV 2nd Home – Max 70% LTV/CLTV Investment - Ineligible Must be primarily for residential use	Properties with Business and Residential Use - Eligible for PRIME, PLUS and FLEX Connect - Must be a primary residence 10% LTV/CLTV reduction – 65% LTV/CLTV floor - Max 4-Units
NON-WARRANTABLE CONDOS	Non-Warrantable Condos – Limited to two (2)	
	Presale	At least 30% of the units must be sold or under bona fide contract
	Investor Concentration	Up to 70% of units can be tenant occupied
	Commercial Space	Up to 50%
	Recreational Leases	Eligible
	Single Entity Ownership	A single entity can own up to 30% of units
	Delinquent HOA	Up to 25%
	Master Coverage Deductible	Up to 10% allowed
	Reserves	<10% replacement, maintenance, and/or deductible
	Mandatory Memberships	Cannot exceed 10% of purchase price
	Material Litigation - Structural/Functional litigation against developer	Ineligible
	Insurance Coverage	Coverage amount less than the full replacement amount is ineligible (Actual Cash Value is not permitted)
	Newly Converted - Non-full gut rehabs	Ineligible
	Flood Insurance	Projects in a flood zone with no master flood coverage are ineligible. Borrower individual policies are not acceptable

APPRAISAL
REQUIREMENTS

PRIME Connect	Loan amount ≥ \$2,000,000 and >65% LTV/CLTV - 2 full appraisals				
PLUS Connect	1 Full appraisal required for all transactions				
FLEX Connect	Follow applicable credit grade (PRIME Connect or PLUS Connect) appraisal requirements. PIW Ineligible				
	All appraisals require a third-party desk review For CU scores <= 2.5 – no additional review is required				
Hybrid Appraisals	Approved Vendors	SGCP approved vendors			
	Hybrid Appraisal Type	Purchase, Rate/ Term Cash Out	Interior Hybrid Appraisal signed by a state licensed/ certified appraiser		
	Max Loan Amount	\$1,500,000			
	Min FICO	680			
	Property Types	Eligible	Ineligible		
		- SFR 1-4 Unit - Condo - PUD	- Rural - Leaseholds or Properties on leased land - Irregular or non-residential zoning - Atypical or extremely custom homes - Properties on acreage - 5+ Acres - Properties in need of major repairs - Condotels - New construction PUDs / Condos - Properties subject to inspection - HPML		
	Hybrid Appraisal Max LTV/CLTV				
		Owner Occupied	75%	70%	60%
2nd Home		70%	70%	60%	
Investment		70%	65%	60%	
Fannie Mae Collateral Underwriter (CU) reports	PRIME and PLUS Connect				
	CU score of 2.5 and below, no 3rd party review required				
	FLEX Connect				
For CU scores <= 2.5 – no 3rd party review is required					
HPML flips require 2nd full appraisal					
All appraisals require a third-party valuation review (Desk Review/CU) by SGCP approved vendor					
Approved Desk Review Vendors:					
- Consolidated Analytics - Clear Capital - Servicelink - Stewart Lender Services - Summit Valuations					
- Desk review products must report a value within +/-10% of the original appraisal value - At 90% LTV, desk review variance cannot exceed +/-5%					
Transferred appraisals acceptable					
When 2 full appraisals are required – separate product review is not required					



TEMPORARY BUYDOWNS	Buydown Types: • 2-1 Buydown • 1-0 Buydown Eligibility: • Owner Occupied • Primary Residence • Purchase • Seller/Builder and Third Party funded subsidies ○ Third Party subsidies include Real Estate Agents and Brokerages; Funds from Borrower(s) are ineligible • 30-year and 40-year Fully Amortizing Fixed Rate only • Borrower must qualify at the Note rate
PREPAYMENT PENALTY	Applies only to Investment Properties – PRIME Connect, PLUS Connect, FLEX Connect Standard Prepayment Penalty Term – 1, 2 ,3 ,4, or 5-year (see rate sheet)